

are internationally accepted commodities as money. In fact, they are considered more valuable than paper money. While paper money is a "national" currency, gold and silver were always "international or universal" commodities.

Receipt money

As business grew, commodities became more important and more prevalent. "Rich" people would have more commodities than the not so rich ones. As the gap between the "rich" and "poor" grew, the safety of commodities became more and more important. To keep precious metals and gems (like gold, silver, diamonds etc.) safe, wealthy people put their gold and other commodities in "safe hands" and in turn received a receipt. This was the start of banking. Remember that the receipt money (or paper money as we know it today) was just a derivative¹⁵ and no more a tangible item like gold. As money evolved from a tangible item of value to a derivative of value i.e., a receipt, the speed of business definitely increased. Whenever traders used to travel over long distances, they used to carry receipts of the commodities they owned rather than the commodities themselves (due to the fear of theft) and would also pay as receipts.

Modern day banking starts here. The seller would take the receipt from the buyer and deposit it in the bank. Rather than transfer the commodities from one location to another with each such transaction, the two bankers in the two cities would reconcile the trading accounts between the buyer and seller with debits and credits against receipts. This further increased the speed of business. Some of the modern forms of receipt money are cheques, bank drafts, etc.

For example, a modern day cheque is like a receipt issued by the safe keeper of your commodities (bank) which you can fill in with an amount less than or equal to the commodities held by the bank and the bank will honour your receipt to the seller whenever the receipt is presented to the bank.

Even a currency note is a receipt. If you read carefully what is written on a currency note, you will find that the currency note says that the bank